

China Daily Brief

Thursday, September 10, 2026

2,845 words · 11 min read

RE: Xi to BRICS then DC · Huawei trial opens in Brooklyn · \$30bn tariff talks · HK court convicts WSJ publisher

USD/CNY
6.6960
▼ -0.34%

SSE COMPOSITE
3,934.40
▲ +0.11%

HANG SENG
24,954.47
▼ -1.03%

BRENT
\$101.72
▲ +5.65%

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○ TODAY AT A GLANCE

- 1 Xi Jinping confirmed a Saturday departure for New Delhi, his first India visit in nearly seven years, ahead of a sit-down with Narendra Modi at the BRICS summit.
- 2 A federal racketeering trial against Huawei opened in Brooklyn, with prosecutors alleging two decades of IP theft and Iran sanctions evasion, two weeks before Xi's Sept 24 Washington visit.
- 3 Beijing confirmed talks on a \$30 billion reciprocal tariff-reduction framework with Washington and disclosed a 1-million-ton US soybean purchase ahead of the summit.

DIPLOMACY

Xi Jinping confirms first India trip in nearly seven years for BRICS summit

Xi Jinping will travel to New Delhi this weekend for the 18th BRICS Summit, China's foreign ministry confirmed, in what SCMP calls the latest leg of Xi's "busiest run of summitry in years." He is expected to hold a bilateral meeting with Indian Prime Minister Narendra Modi on the sidelines. Per Lianhe Zaobao, Fudan University's Lin Minwang said Beijing wants improved ties but a major breakthrough remains unlikely given lingering distrust.

SCMP CHINA / 联合早报 (LIANHE ZAOBAO)

US-CHINA

Huawei racketeering trial opens in Brooklyn weeks before Xi's Washington visit

A federal racketeering conspiracy trial against **Huawei** opened Wednesday in Brooklyn, with DOJ attorney Taylor Stout telling jurors the company stole technology from American firms and helped Iran surveil its citizens over two decades. Defense attorney Brian Heberlig said prosecutors built their case on "a smattering of anecdotes" from Huawei's roughly *200,000 employees* across 170 countries. WSJ notes the trial lands two weeks before Xi's Sept 24 Washington visit.

CNA CHINA / REUTERS / WSJ

US-CHINA

Beijing says it hopes for tariff deal 'at an early date' as \$30bn framework talks continue

China said Thursday it hopes to reach agreement with Washington on tariff reductions "at an early date," per Washington Post, as MOFCOM confirmed the two sides are negotiating a framework for reciprocal cuts on *\$30 billion* of goods each, the arrangement agreed at the May 14-15 Beijing summit. Reuters separately reported, citing sources, that China has purchased 1 million tons of US soybeans ahead of the Sept 24 Xi visit.

WASHINGTON POST / MOFCOM PRESSER / REUTERS

US-CHINA

Hong Kong court convicts Dow Jones over blocking WSJ reporter's union bid

A Hong Kong court convicted **Dow Jones**, publisher of the Wall Street Journal, of attempting to block former reporter Selina Cheng from becoming head of a press union, per CNN and AP. The court cleared Dow Jones of unlawfully firing her. Nikkei Asia reports the court found the publisher "improperly sought to deter" the reporter from the union post.

CNN CHINA / AP NEWS / NIKKEI ASIA

TECHNOLOGY

Beijing rejects US 'malicious' AI distillation claims, signals openness to talks

****China**** pushed back Thursday on US allegations of "malicious" AI model distillation, per AP, while Bloomberg reported Beijing says it remains "willing" to hold AI safety talks with Washington despite the dispute. Sinocism noted expectations for the talks should be low given US regulatory incoherence, citing a Politico report that Treasury's AI policy adviser Sam Corcos was reassigned after relaying industry misgivings about White House AI policy.

AP NEWS / BLOOMBERG / SINOCISM

SANCTIONS

Reuters traces billion-dollar network moving Chinese goods to Iran despite sanctions

A Reuters exclusive published Thursday examined how a network of intermediaries kept a ***billion-dollar*** flow of Chinese-made goods moving into Iran despite US sanctions. The report is part of Reuters' ongoing sanctions-evasion coverage.

REUTERS CHINA

SAFETY/INDUSTRIAL	Major casualties reported in cargo ship fire at Qingdao shipyard — A fire aboard an international cargo ship docked at Beihai Shipyard in Qingdao, Shandong caused major casualties, per Washington Post. China's Ministry of National Defense said Xi Jinping issued important instructions on the accident. · WaPo China
TECHNOLOGY	DeepSeek launches V4.1-Flash model — China's DeepSeek released a new V4.1-Flash model Thursday, per Reuters. The launch lands amid a broader US-China dispute over AI model distillation and export-control enforcement. · Reuters China
TECHNOLOGY	Huawei unveils optical tech standard challenging Nvidia, Broadcom — Huawei introduced its own optical communication technology standard Thursday, per Nikkei Asia, positioning it against Nvidia and Broadcom in data-center networking. The move follows Huawei's push into AI accelerator hardware amid US chip restrictions. · Nikkei Asia China
FINANCE	Chinese tech firms' share-sale spree sparks valuation concerns — A wave of secondary share sales by Chinese technology companies is raising valuation concerns, per Bloomberg. The spree coincides with a rush of AI-linked IPOs on Hong Kong and Shanghai exchanges. · Bloomberg China
PLA/LEGAL	China's defence mobilisation law revisions spark online misinformation — AFP Fact Check found online misinformation circulating about China's revised defense mobilization law. The fact-check did not specify the exact false claims being corrected. · AFP China
FINANCE	UBS closes China fund distribution unit — UBS said its China fund distribution unit will cease business, per Reuters, citing intense domestic competition. The closure adds to a string of foreign asset managers scaling back China retail operations. · Reuters China
SOCIETY/CENSORSHIP	China's online environment gets 'colder and darker,' NYT's Li Yuan writes — China Digital Times reprints NYT correspondent Li Yuan 's reporting that Beijing's push for uniform "positive energy" online looks increasingly strained. Discontent tied to disasters, unemployment and the property slump has become more persistent on Chinese social media. · China Digital Times

DIPLOMACY · SCMP CHINA

Pentagon China policy director to lead US delegation to Xiangshan Forum

The US delegation to Beijing's Xiangshan Forum, a major Chinese security conference, will be led by Principal Deputy Assistant Secretary of Defense for China, Taiwan and Mongolia **Cynthia "Xanthi" Carras**, SCMP reported, citing sources. Further delegation details were still to be confirmed.

CONGRESS · REUTERS CHINA

Ford's China ties draw fresh fire from congressional Republicans

Ford is caught in an escalating Washington dispute over its China business dealings, Reuters reported Thursday. Republican lawmakers separately criticized the automaker's China ties this week, per a related Reuters report.

INVESTMENT · REUTERS CHINA

US firms in China turn more upbeat as profits recover, survey shows

US companies operating in China are growing more optimistic as profits recover, a survey reported by Reuters found. The improvement follows a period of caution tied to tariff uncertainty and weaker Chinese demand.

DIPLOMACY · CCTV ZH

China, US jointly crack transnational synthetic drug case

China's Ministry of Public Security and the FBI jointly cracked a case involving manufacture and trafficking of synthetic cannabinoid precursors, per CCTV. The announcement did not disclose arrest numbers or operational scale.

INVESTMENT · BLOOMBERG CHINA

China-US 10-year bond yield gap widens to record

The gap between China's and the US's 10-year government bond yields widened to its widest on record, Bloomberg reported, reflecting the two countries' diverging monetary policy paths. Rising Treasury yields risk accelerating shifts in capital flows between the world's two largest economies, per FT.

CROSS-STRAIT · TAIPEI TIMES

Taiwan building multilayered air defense, non-red drone supply chain

Vice President **Hsiao Bi-khim** said Taiwan is developing multilayered air defenses and a fully "non-red" drone supply chain, citing lessons from Ukraine and the Middle East. She said the T-Dome project would link detection and interception across a layered air-defense network.

CROSS-STRAIT · CHINA TIMES ZH

AIT director: Taiwan Strait conflict would exceed WWII's economic toll

AIT Director **Raymond Greene** (谷立言) told the Taipei Security Dialogue that a Taiwan Strait conflict's global economic impact could exceed World War Two's, and that deterrence, not provocation, is the goal of US support for Taiwan's defense. He called the upcoming Trump-Xi summit an opportunity to reduce misjudgment risk.

JAPAN · SCMP CHINA

China warns Japan's AI satellite plans pose 'serious threat'

Chinese state media warned that Japan's planned AI-equipped tactical satellites, capable of analyzing surveillance intelligence to speed missile-targeting decisions, would boost Tokyo's long-range strike capability. The warning follows Nikkei reporting on the satellite program last week.

INDIA · CNBC CHINA

India's green energy push exposes China battery dependency

India's ambition to build a self-reliant renewable energy ecosystem is running into a China problem, per CNBC. The report comes as India's fraud investigators recommend probing Chinese phone maker Xiaomi over its business model and foreign-investment compliance.

MIDDLE EAST · CNBC CHINA

China's crude stockpiling helped cap oil price surge amid Iran war

China's crude stockpiling and subsequent pullback on purchases since fighting erupted in late February helped the world avoid a deeper energy crisis, per CNBC. Brent crude stood at **\$101.72**, up 5.65% on the day.

RUSSIA-CENTRAL ASIA · BLOOMBERG CHINA

Asking price for Russian oil soars as China runs out of options

The asking price for Russian crude is soaring as Chinese buyers run low on alternatives, Bloomberg reported. The dynamic sits alongside record Russian gold imports into Hong Kong amid sanctions pressure.

EUROPE · REUTERS CHINA

Italian lobby group calls for 80% EU tariff on Chinese cars, parts

An Italian industry lobby group called for an **80%** EU tariff on Chinese cars and auto parts, per Reuters. The push follows earlier EU moves toward "Buy European" procurement rules aimed at limiting Chinese content.

LATIN AMERICA · MOFCOM TRADE REMEDY BUREAU ZH

Mexico finalizes anti-dumping rulings against Chinese steel, aluminum exports

Mexico issued final anti-dumping determinations against Chinese hot-rolled steel, aluminum rod and hollow aluminum profiles this week, plus a preliminary ruling on PVC-coated fabric, per notices published by China's Ministry of Commerce trade remedy bureau. The rulings add to a run of Latin American trade actions against Chinese metals and plastics this year.

AFRICA · AP CHINA

Chinese electric bike imports surge as Africa's EV investment diversifies

Chinese electric bike imports into Africa are surging as EV investment on the continent diversifies beyond a handful of markets, per AP. Morocco and Egypt feature among the destinations for the expanding trade.

STAT OF THE DAY

80%

Projected China EV penetration rate by 2030

A Sinopec researcher's estimate cited by Reuters would nearly double today's EV sales share within roughly four years.

Reuters, "China's EV penetration could reach 80% by 2030, Sinopec researcher says"

MACRO · WSJ CHINA

China's consumer, producer inflation edge higher

China's CPI rose **/+0.8% y/y** and PPI **/+3.8% y/y**, per WSJ, as deflationary pressure persists despite signs of stabilization, per Haitong International.

TECH / HUAWEI, CAMBRICON, METAX · REUTERS CHINA

China's AI chipmakers raise prices as HBM shortage bites

Huawei's Ascend 950DT card now quotes above **/¥250,000**, up 20-50% in two months, while Cambricon's unreleased "690" chip rose 20-30%, per Reuters and Guancha, citing sources; both companies declined to confirm the figures.

FINANCE · FT CHINA

China warns bankers not to flood IPO market

Regulators want new listings priced cheaply to rebuild investor faith in stock markets, per FT.

ENERGY · REUTERS CHINA

Global cleantech investment fell in H1 on slowing China momentum

Worldwide cleantech investment declined in the first half of the year as China's momentum slowed, per Reuters.

TECH / ENFLAME, TENCENT · REUTERS CHINA

Tencent-backed Enflame to debut in Shanghai in \$912 million IPO

AI chipmaker Enflame will list Friday in a **/\$912 million** Shanghai IPO, per Reuters.

FINANCE / LUCKIN COFFEE, MUBADALA · FT CHINA

Abu Dhabi's Mubadala buys into Luckin Coffee with \$1bn deal

Mubadala is widening its presence in China's consumer market with a **/\$1 billion** investment in Luckin Coffee, per FT.

AUTO · AP CHINA

China's car exports in first 8 months surpass all of 2025

China's auto exports through August have already exceeded the full-year 2025 total, driven by surging EV sales, per AP.

◦ WHAT BEIJING DID

STATE COUNCIL + MINISTRIES · THURSDAY, SEPTEMBER 10, 2026

中国人民银行 · PEOPLE'S BANK OF CHINA · *Lu Lei, PBOC Deputy Governor*

Unveils 2035 financial-system blueprint under the 15th Five-Year Plan

At a State Council Information Office briefing, Lu said the plan targets a modern Chinese financial system by 2035, development of an offshore RMB market, and more flexible open-market operations while gradually de-emphasizing quantitative policy targets.

→ [PBOC ZH](#) ↗

中国人民银行 · PEOPLE'S BANK OF CHINA · *PBOC (unnamed)*

Schedules overnight reverse repo operations Sept 14-17

The central bank said it will conduct overnight reverse repo operations from Sept 14 to 17, capped at *¥600 billion* per day, to manage liquidity.

→ [PBOC ZH](#) ↗

商务部 · MINISTRY OF COMMERCE · *Huang Ling, MOFCOM spokesperson*

Summons French companies over EU subsidy pass-through concerns

MOFCOM said public reports indicate some French firms received EU and member-state subsidies that may have been transmitted to their China-based entities; the ministry has requested explanations to assess the impact.

→ [MOFCOM ZH](#) ↗

商务部 · MINISTRY OF COMMERCE · *MOFCOM (unnamed)*

Extends anti-dumping probe deadline on US, Mexico pecan imports

MOFCOM published a notice extending the timeline for its anti-dumping investigation into pecans originating in Mexico and the United States.

→ [MOFCOM](#) ↗

PERSONNEL CHANGES

Tung Chee-hwa (董建华) **DECEASED**

Hong Kong Chief Executive (1997-2005, retired)

Tung Chee-hwa, Hong Kong's first post-colonial Chief Executive, died at age 89, per Nikkei Asia and FT Chinese. He later served as Vice Chairman of the Chinese People's Political Consultative Conference and founded the Our Hong Kong Foundation think tank.

外交部 · MOFA

CONCILIATORY · TO US

AI governance principles amid US distillation dispute

Guo Jiakun · MOFA spokesperson

“Artificial intelligence concerns the common wellbeing of all humanity and should adhere to the principles of openness, inclusiveness, universal benefit and being good for humanity.”

人工智能关乎全人类共同福祉，应坚持开放、包容、普惠、向善原则

Context: Comes as Washington and Beijing trade accusations over AI model distillation ahead of the Sept 24 Trump-Xi summit.

MOFA presser ZH

中国人民银行 · PBOC

ROUTINE · TO US

Currency policy amid trade tensions

Lu Lei · PBOC Deputy Governor

“China has no need and no intention to gain trade competitive advantage through currency devaluation.”

中国没有必要也无意通过汇率贬值来获取贸易竞争优势

Context: Made at a State Council Information Office briefing on the 15th Five-Year Plan's financial-system blueprint.

PBOC ZH

商务部 · MOFCOM

FIRM · TO EU

Summons of French companies over EU subsidies

Huang Ling · MOFCOM spokesperson

“Public reports indicate some French companies have received EU and member-state subsidies that may be transmitted, to some extent, to their entities in China. To assess the impact, the Ministry of Commerce has, in accordance with law, sought information from them and requested an explanation.”

有公开报道显示，一些法国企业接受了欧盟和成员国的相关补贴，可能在一定程度上传导至在华实体，为评估其影响，商务部依法向其了解相关情况，请其进行解释说明。

Context: Follows MOFCOM's recent meetings with several France-based companies operating in China.

MOFCOM ZH

外交部 · MOFA

CONCILIATORY · TO INDIA

India's proposed investigation of Xiaomi

Guo Jiakun · MOFA spokesperson

“China-India economic and trade cooperation is mutually beneficial in nature. We hope India will provide a fair, just, transparent and non-discriminatory business environment for enterprises from all countries investing and operating there.”

中印经贸合作本质上是互利共赢的，希望印方为各国企业在印投资经营提供公平、公正、透明、非歧视的营商环境。

Context: Asked about India's Serious Fraud Investigation Office recommending a probe of Xiaomi over its business model and foreign-investment compliance.

国台办 · TAO

CONCILIATORY · TO TAIWAN

Cross-strait cultural exchange

Chen Binhua · TAO spokesperson

"We are pleased to see more film and television works created through collaboration between mainland and Taiwan film industries, showcasing cross-strait kinship and good life, that can be shown across the strait, achieving a two-way rush of sentiment and exchange among people on both sides."

我们乐见有更多由两岸影人合作、展现两岸亲情与美好生活的影视作品在两岸播出，实现两岸民众情感与交流的“双向奔赴”。

Context: Asked about the mainland-produced drama "早春晴朗" (starring Jing Boran) trending among Taiwanese audiences, per a Sept 9 TAO presser.

TAO ZH

○ WHAT OTHERS ARE SAYING

TAIPEI SECURITY DIALOGUE · SEPT 9, 2026

Eyck Freymann · Hoover Fellow, Stanford Hoover Institution

"Taiwan's fate is more likely to be determined by a crisis than by a war. If the shipping companies comply with this, if the international insurance system says that we will not insure cargoes that don't comply with PRC directives, China can effectively take control of the maritime space around Taiwan without firing a shot."

Note: Freymann pointed to China Coast Guard radio requests for cargo information from ships entering or leaving Taiwan as a potential precursor to maritime "legal encirclement."

source

TAIPEI SECURITY DIALOGUE · SEPT 9, 2026

Jedidiah Royal · Former Principal Deputy Assistant Secretary of Defense for Indo-Pacific Security Affairs

"base hit, not a home run"

Note: Royal was describing Taiwan's NT\$240 billion (US\$7.62 billion) Legislative Yuan-approved drone budget act, which he said was lower than Washington expected and slow to pass.

source

WASHINGTON REMARKS, PER TAIPEI TIMES · SEPT 10, 2026

Michael Ellis · CIA Deputy Director

"fundamentally different"

Note: Ellis used the phrase to describe China's threat to the US as now primarily economic rather than military, per a Taipei Times editorial citing his remarks.

source

ROBOTICS

REUTERS CHINA

China's humanoid robot champion moves toward real-world deployment

Reuters profiles China's fastest humanoid robot as makers push it toward commercial and industrial applications.

HEALTHCARE

REUTERS CHINA

Novo Nordisk's Wegovy approved in China for liver disease MASH

Novo Nordisk said Chinese regulators approved Wegovy for the liver disease MASH.

MANUFACTURING

REUTERS CHINA

Hefei's industrial boom reveals limits of China's state-led manufacturing push

Reuters examines how Hefei's state-subsidized industrial rise highlights constraints on China's broader manufacturing strategy.

NIKKEI ASIA CHINA

Japan's Tamron weighs Sony bid as Chinese rivals close in

Camera lens maker Tamron is considering a Sony acquisition proposal amid growing competition from Chinese rivals.

DEMOGRAPHICS

ECONOMIST CHINA

China's only-children generation increasingly marries other only children

The Economist examines a marriage pattern shaped by decades of the one-child policy.

NATIONAL SECURITY

HONG KONG FREE PRESS

Two Hong Kong men with autism jailed over Taiwan-based independence group

Chan Tai-sum and Ng Chi-tung were sentenced to 38 and 36 months for joining a group advocating Hong Kong independence.

TECHNOLOGY/FINANCE

观察者网 (GUANCHANG)

Moonshot AI weighs Shanghai-Hong Kong dual listing

Kimi K3 developer Moonshot AI is exploring a dual listing to raise more capital, per SCMP via Guancha.

CROSS-STRAIT DIPLOMACY

TAIPEI TIMES

Panama's National Assembly forms Taiwan friendship group

45 of 71 Panamanian lawmakers joined a new Taiwan-Legislative Yuan exchange group, welcomed by Foreign Minister Lin Chia-lung.

○ UPCOMING

Sep
12

Xi arrives in New Delhi for 18th BRICS Summit

First Xi visit to India in nearly seven years; a bilateral meeting with PM Modi is expected on the sidelines through Sept 13.

Sep
18

Mukden Incident 95th anniversary

A recurring Japan-China flashpoint date amid ongoing tension over Japan's defense posture and East China Sea activity.

Sep
22

UN General Assembly high-level week opens, New York

First major multilateral gathering ahead of Xi's Washington visit two days later.

Sep
24

Xi Jinping state visit to Washington

First Chinese leader visit to the US since 2015; watch for Board of Trade/Board of Investment follow-through on the \$30bn reciprocal tariff framework now under negotiation.

Nov
10

Busan-deal suspensions approach lapse

The one-year suspensions of the BIS Affiliates Rule and China's Oct 2025 rare-earth export controls are due to expire around this date unless extended.

CSIS China Programs

CHINA DAILY BRIEF

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